



Deutsche Bank
Research

AI, Iran and the Gulf 101

Why the Gulf needs AI – and vice versa

April 2026

Adrian Cox

With deep dedication.

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

Deutsche Bank
Research Institute

Iran war threatens to derail Gulf ambitions to become third AI region after US, China

How will it affect AI – both inside and outside the region?



Artificial Intelligence has been a driver of growth in the Gulf as the region diversifies from oil and gas income. It has leaned into its natural strengths, such as abundant energy for data centres, and mitigated the challenges, such as how to cool them in the desert heat.

The five-week war centered on Iran may derail those ambitions. Whether or not the current ceasefire holds, it has threatened the region's economy, supply lines and facilities, and could yet squeeze investment not only in the region but also abroad.

Iran's Islamic Revolutionary Guard has reportedly hit several Amazon Web Services (AWS) data centres in the UAE and Bahrain. It has also threatened to attack the giant 1GW planned Stargate (UAE-US AI Campus) on the outskirts of Abu Dhabi. For their part, the US and Israel have targeted Iranian data centres.

In this short report, we examine why AI is so important to the Gulf, why the region is so well-suited for it, what progress it has made so far, why this matters to the rest of the world, with a focus on its sovereign wealth funds, and what the long-term implications of the war may be.

Source: Data Center Map, X, Deutsche Bank Research

Number of data centres by country



Tehran Times
@TehranTimes79

X.com

#BREAKING

Spokesman of Iran's Khatam al-Anbiya Headquarters:

Nothing is hidden from our sight.

All ICT companies in the region will be considered legitimate targets for us.

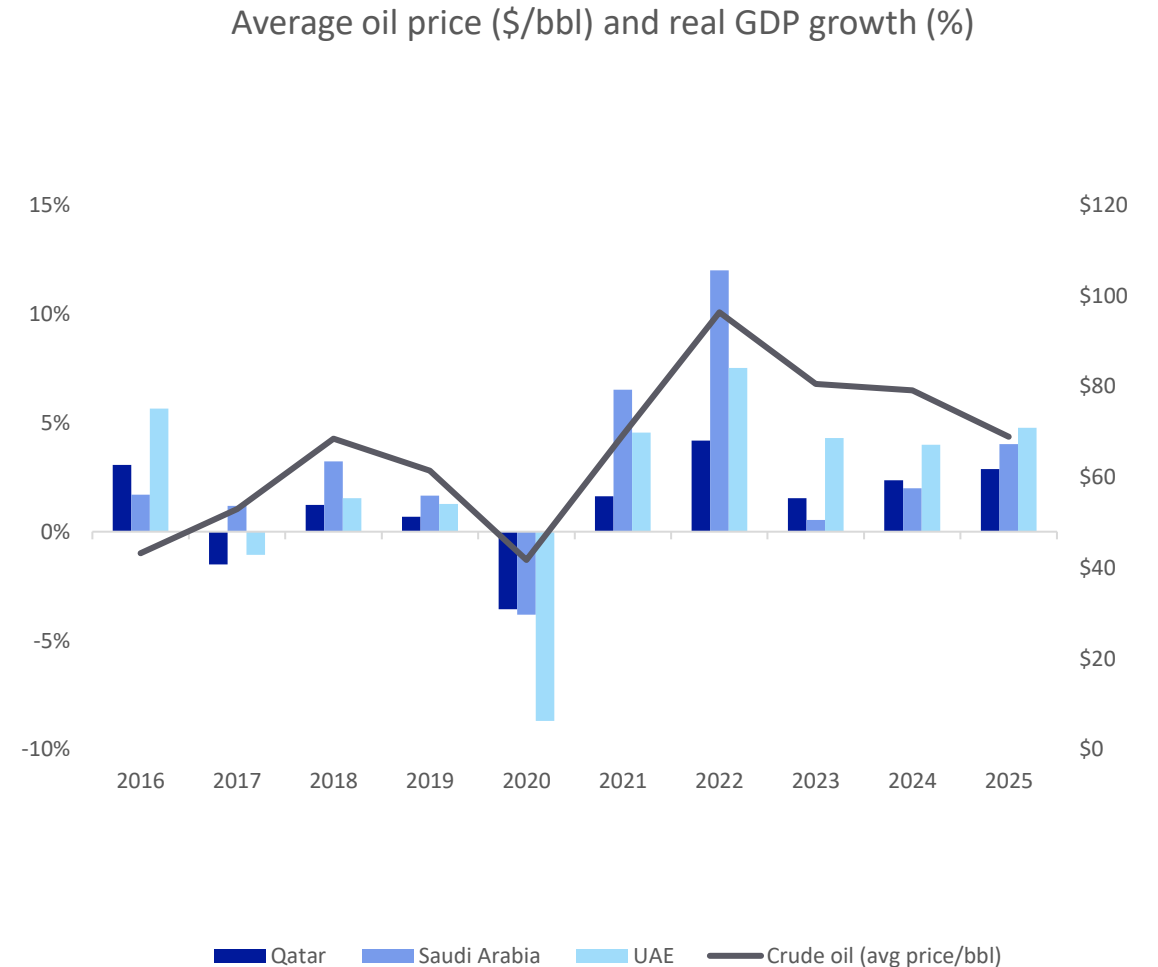
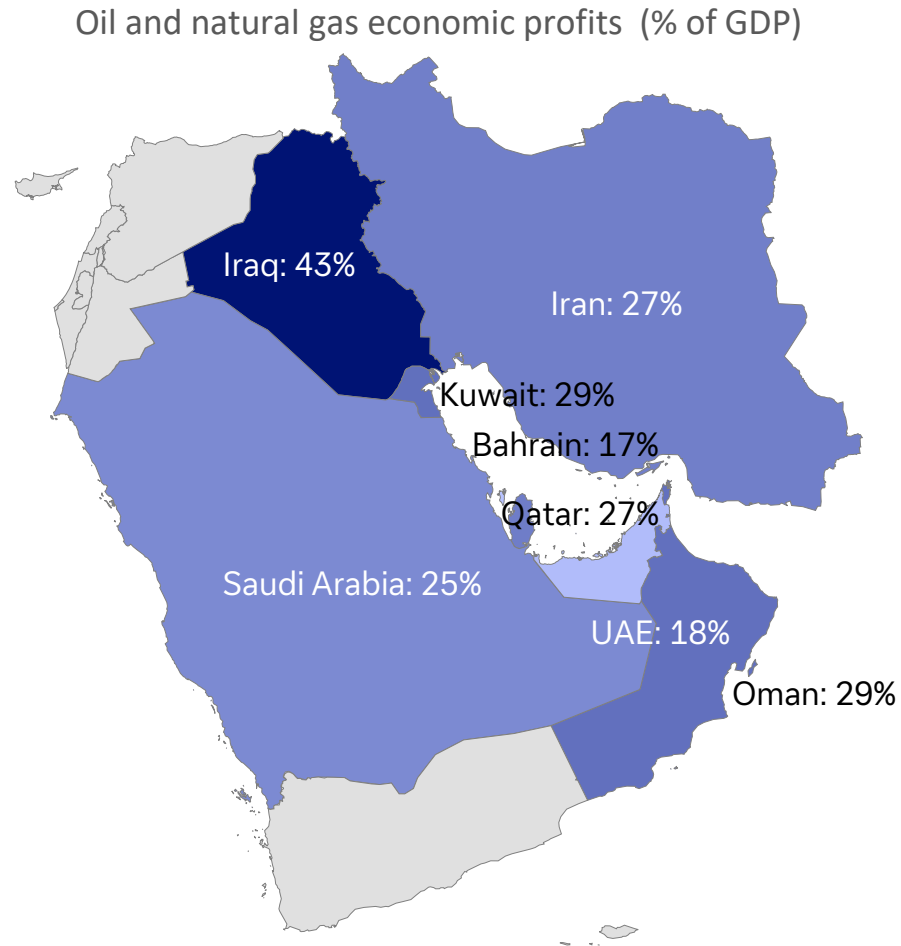


07:02 · 03/04/2026 · 115K Views

84 675 2.4K 200

1. Why does AI matter so much to the Gulf?

The region is seeking to diversify from its dependence on oil and gas



Source: Our World in Data, World Bank, Haver Analytics, Deutsche Bank Research

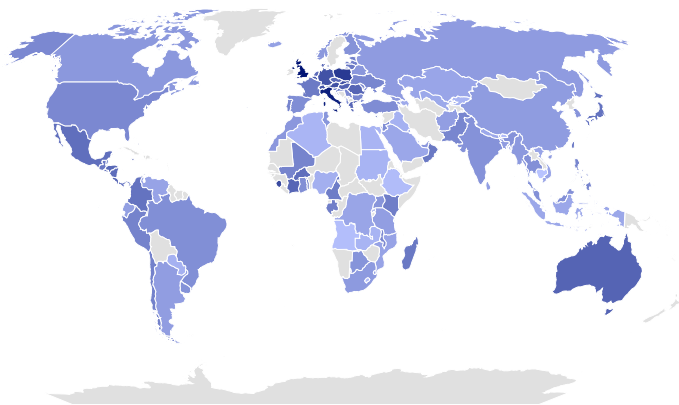
Adrian Cox, Deutsche Bank Research, April 2026

2. Why is the Gulf so well suited for AI?

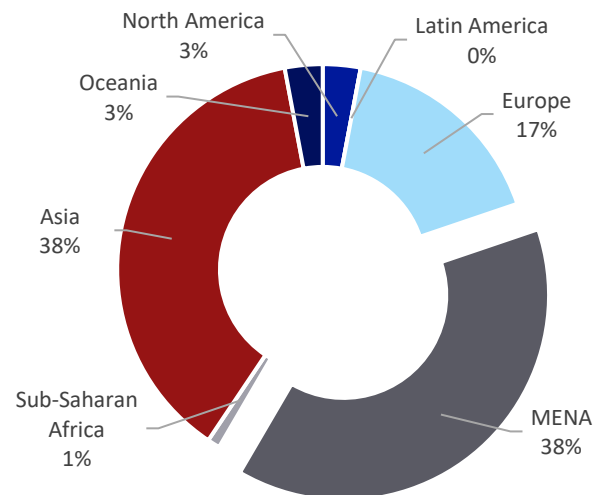
i. Cheap energy; ii. Abundant, focused sovereign wealth; iii. High citizen use and trust



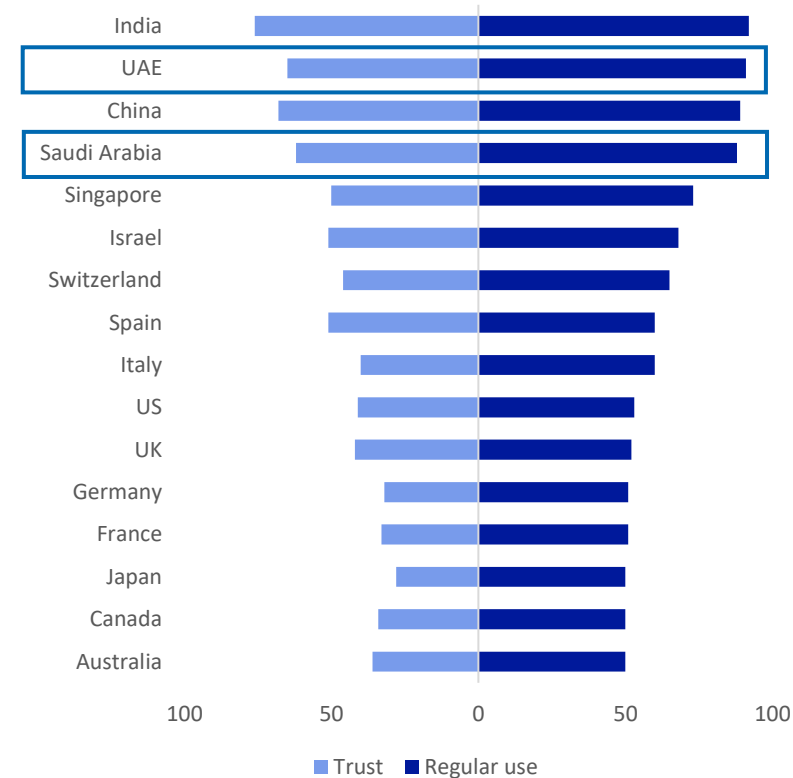
Business electricity rates world, 2023-2026 average (darker shade is highest at \$0.445/kWh)



Sovereign Wealth Funds USD 15.8tn, by region



Regular use and trust in AI systems across selected countries (%)



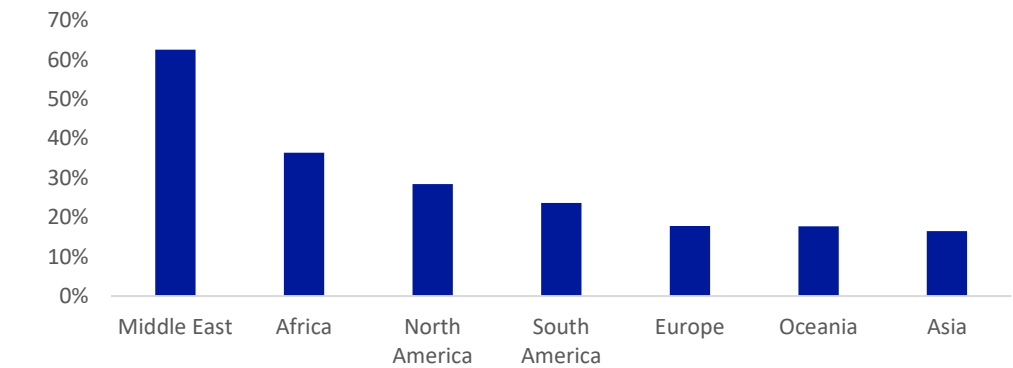
Source: [globalpetrolprices.com](https://www.globalpetrolprices.com), [Global SWE](https://www.globalwealthfunds.com), Gillespie, N., Lockey, S., Ward, T., Macdade, A., & Hased, G. (2025). *Trust, attitudes and use of artificial intelligence: A global study 2025*. The University of Melbourne and KPMG, Deutsche Bank Research

3. What progress has it made so far?

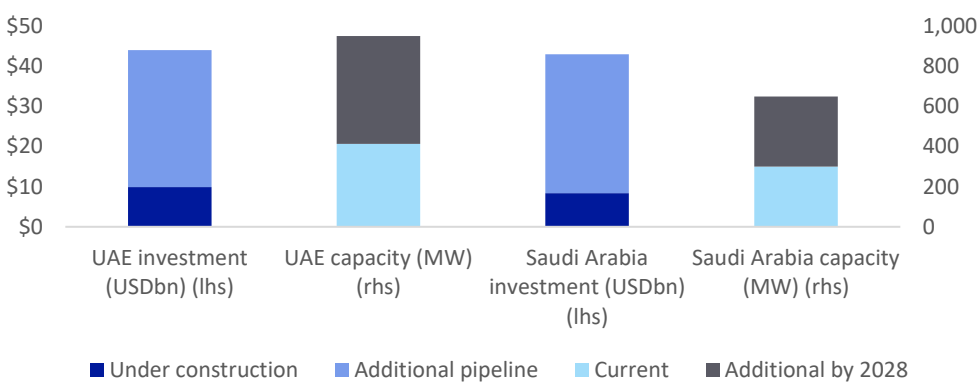
i. Data centres: Saudi Arabia and UAE rank in top four locations due to favourable environment



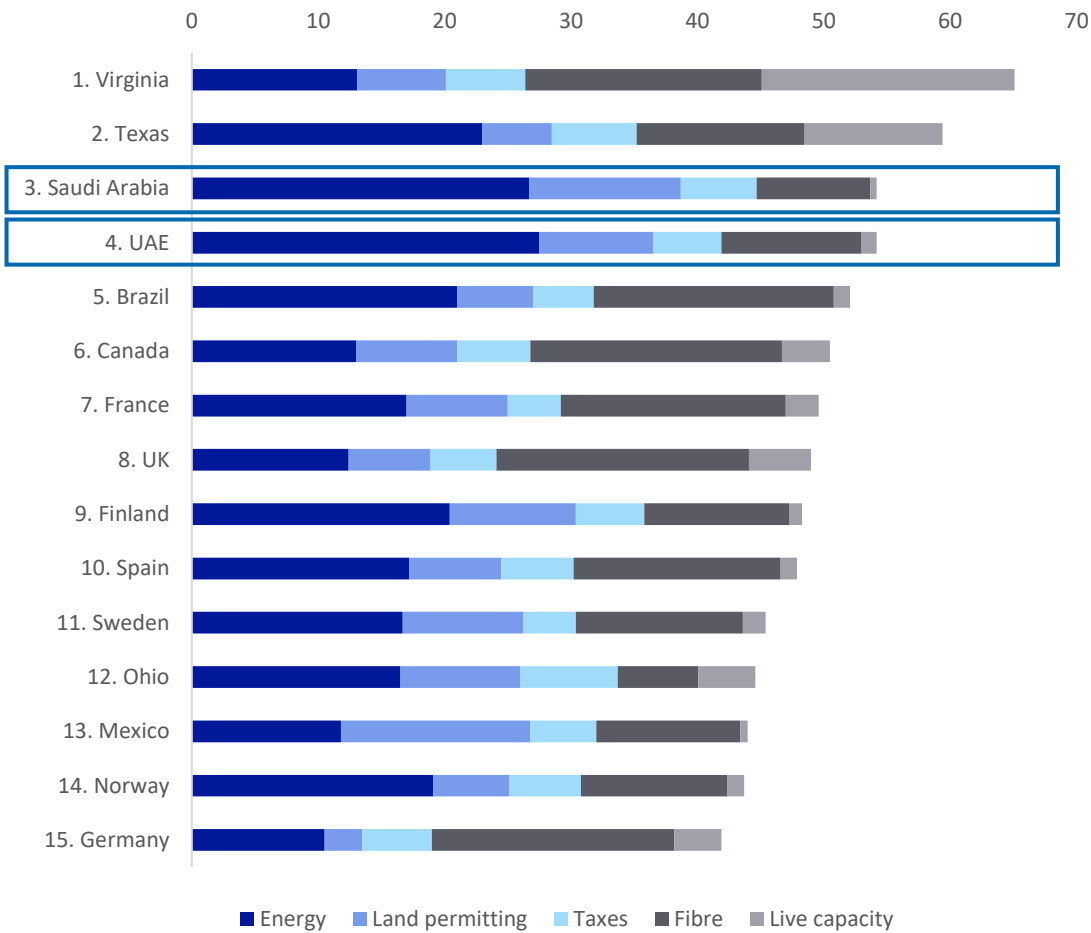
Global forecasts of live IT capacity (MW): compound annual growth rate 2025-2027



Data centre capacity and investment in UAE, Saudi Arabia



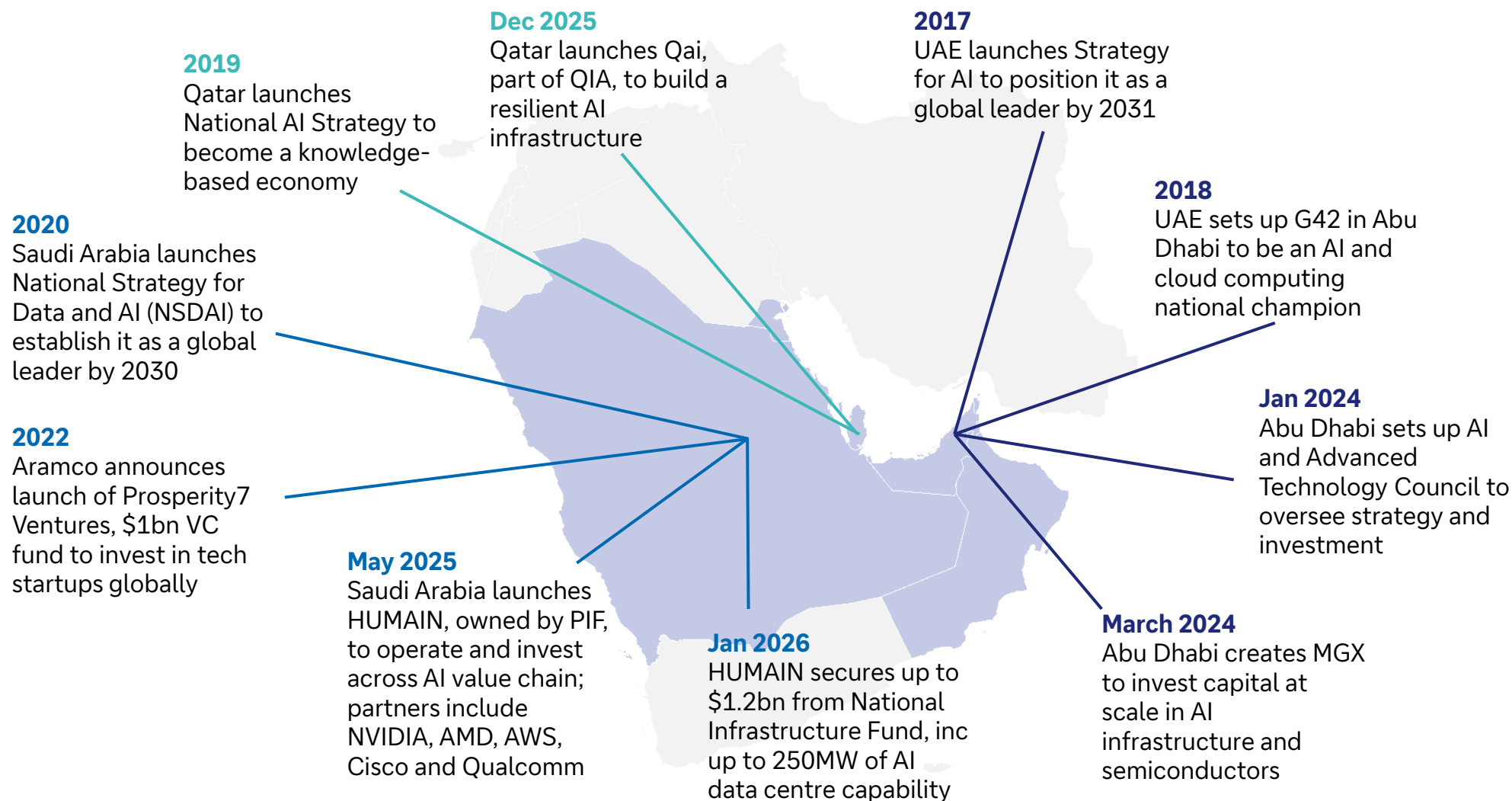
Data centre development ranking



Source: Knight Frank Data Centres Global Forecast Report 2026 (NB: Volumes include colocations, self-build, and build-to-suit capacities), Emirates NBD, BloombergNEF, Deutsche Bank Research

3. What progress has it made so far?

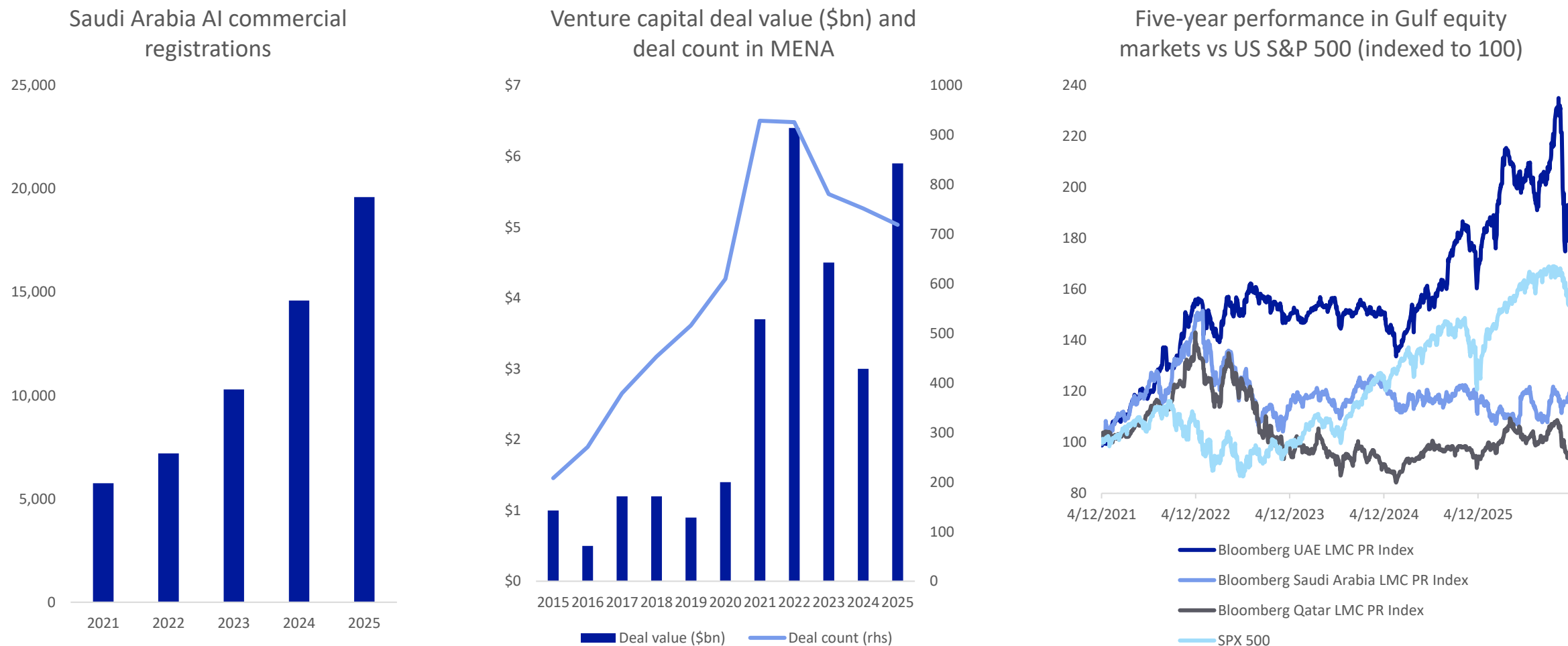
ii. Investment: UAE, Saudi Arabia, and now Qatar, lead domestic and international AI push



Source: Company announcements, media reports, Deutsche Bank Research

3. What progress has it made so far?

iii. Domestic activity: surge in new company formation and investment amid mixed markets



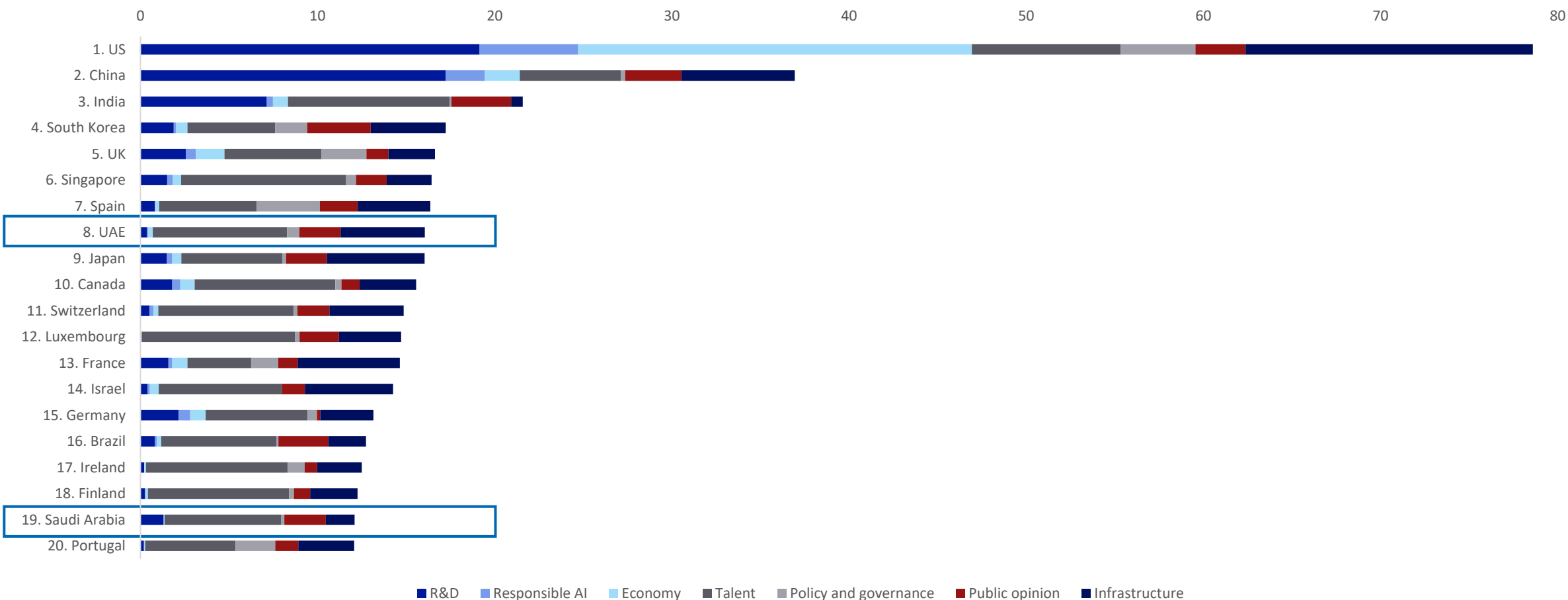
Source: Saudi Arabia Ministry of Commerce, Pitchbook, Bloomberg Finance LP, Deutsche Bank Research

3. What progress has it made so far?

As a result, UAE ranks No. 8 globally in AI vibrancy; Saudi Arabia also scores in the top 20



Global AI Vibrancy Ranking 2024 (weighted)



Source: Stanford University Human-Centered Artificial Intelligence [Global Vibrancy Tool](#), Deutsche Bank Research

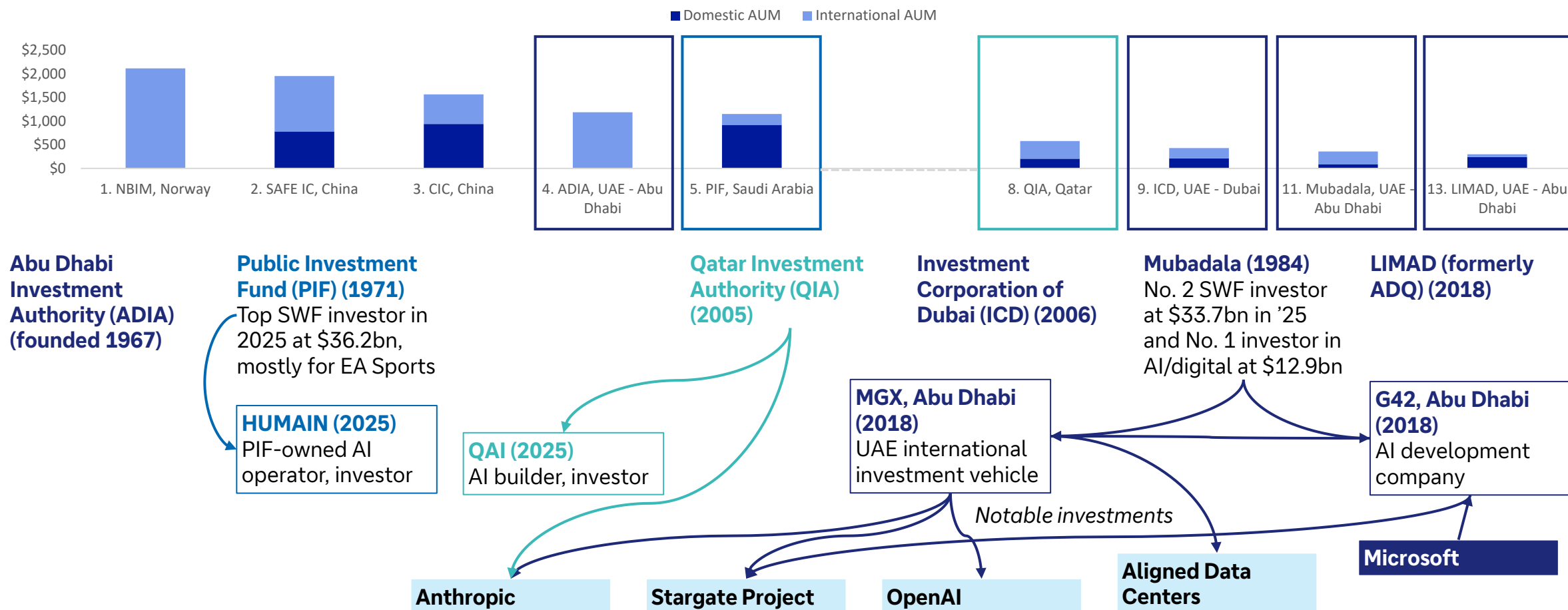
Adrian Cox, Deutsche Bank Research, April 2026

4. Why does this matter to the rest of the world?

i. Gulf sovereign wealth funds manage about \$5tn and invested \$119bn in 2025, up 43%



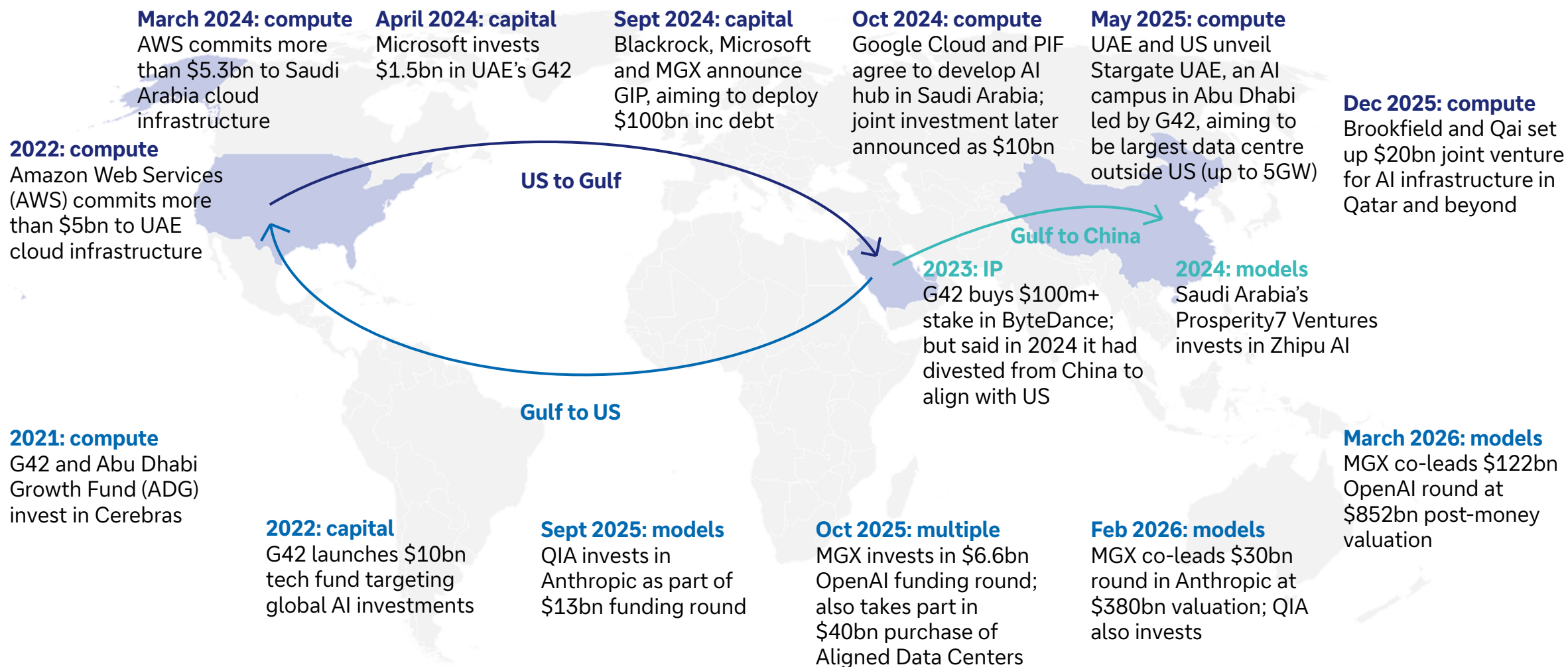
UAE, Saudi and Qatari sovereign wealth funds dominate top table (AuM, \$bn)



Source: *Global SWF*, media reports, Deutsche Bank Research; NB Gulf Seven assets are latest period USD figure if available, estimation otherwise

4. Why does this matter to the rest of the world?

ii. Investment goes both ways: Gulf countries and US focus on capital, compute and models



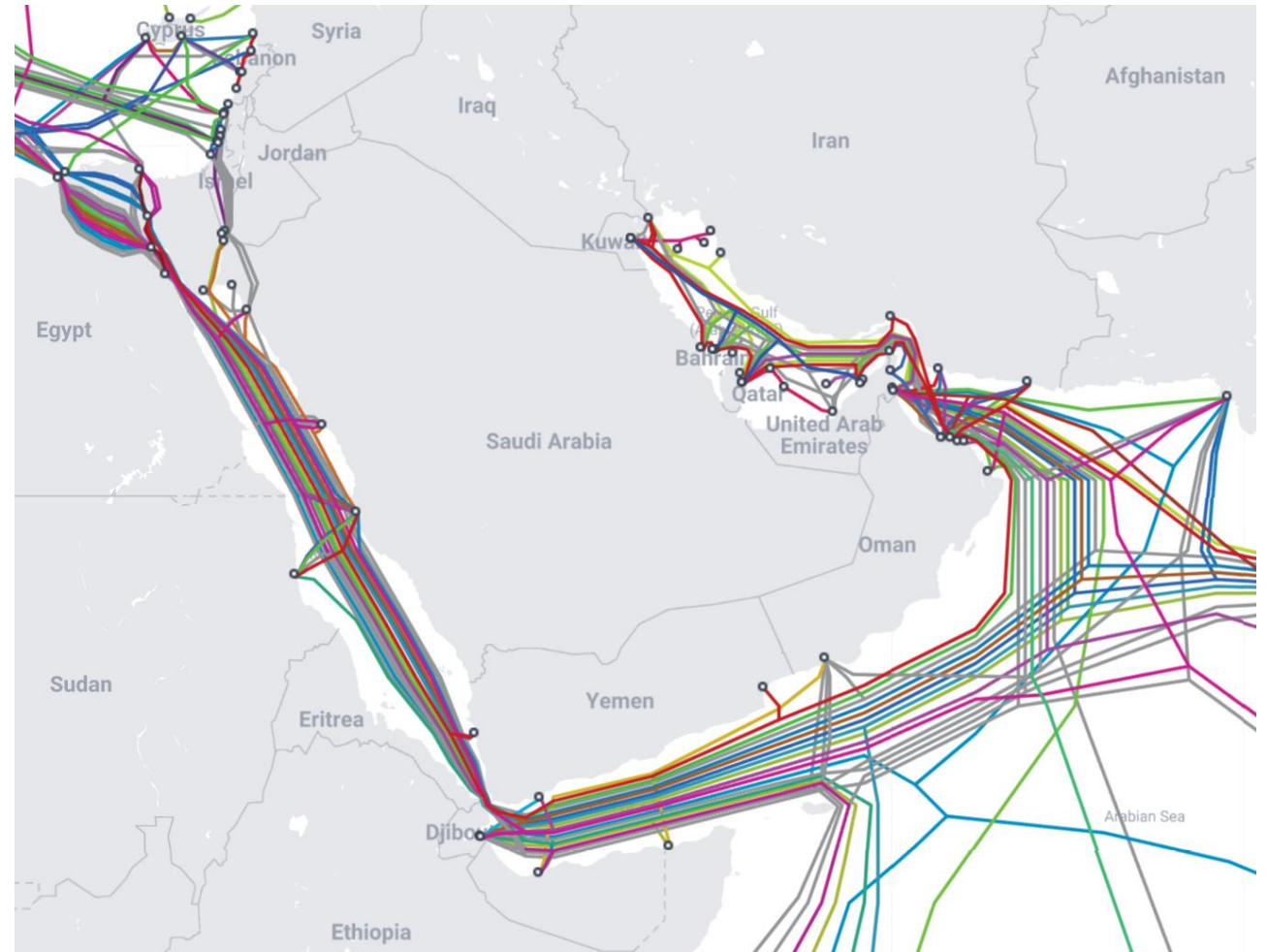
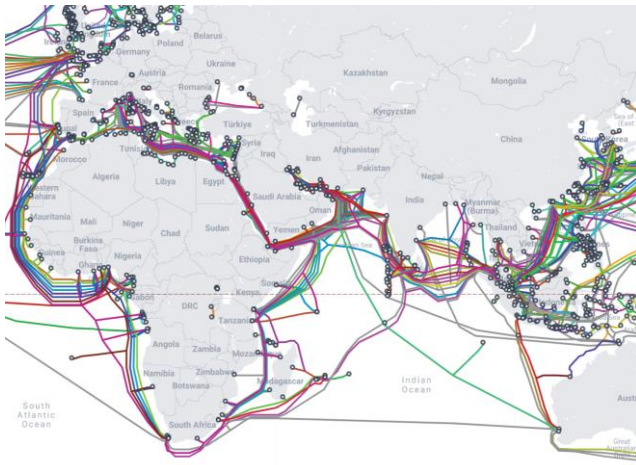
Source: Company announcements, media reports, Deutsche Bank Research

4. Why does this matter to the rest of the world?

iii. The region is at a crossroads not just for energy but also for AI demand, supply chains and data

Four examples:

1. The region is a key source of demand: IT spending in MEA was \$155bn last year, 4% of the global market (source: IDC). Almost all of its hardware is imported.
2. Qatar produces about one third of global helium, key for cooling superconducting magnets and producing chips.
3. Taiwan, which produces almost all of the most advanced chips, relies on LNG for about 43% of its electricity – and one third of its LNG usually comes from Qatar.
4. About 30% of all intercontinental internet traffic passes through about 17 submarine data cables in the Gulf.



Source: [Telegeography Submarine Cable Map](#), Deutsche Bank Research

5. What could be the long-term implications?

Despite short-term threats, the war could boost demand for AI investment in the longer term



1. Cybersecurity

- Enhanced detection and response to threats, especially to critical infrastructure

Shaky ceasefire unlikely to stop cyberattacks from Iran-linked hackers for long

World Apr 8, 2026 6:14 PM EDT

2. Supply chains

- Regionalisation of manufacturing and built-in redundancy of supply

Iran war chokes off helium supplies in threat to chipmakers and healthcare

3. Sovereign AI infrastructure and data

- Investment in independent digital infrastructure, owned and operated domestically

The Iran War Will Disrupt the Digital Order and Redefine Sovereignty

S. YASH KALASH / APR 3, 2026

Source: Associated Press, Financial Times, Tech Policy Press, Deutsche Bank Research

Adrian Cox, Deutsche Bank Research, April 2026



Recent relevant research



Home Macro Germany Technology Geopolitics Corporate Landscape Expert Voices Subscribe Deutsche Bank Research Client Portal

You are here: Home



Macro | March 24, 2026

What Iran means for the dollar: a perfect storm for the petrodollar

The Middle East is strategically very important to the dollar's role as the world's reserve currency. The Iran conflict could test the foundations of the petrodollar regime.

Featured Research

More Featured Research



Podcast podcast

Power Play: Investing in Energy Infrastructure for the AI Era

Macro | April 3, 2026

Power Play: Investing in Energy Infrastructure for the AI Era

The world is facing an energy deficit exacerbated by AI. US Deutsche Bank analysts discuss how today's investments are shaping the future of energy infrastructure.

Podzept

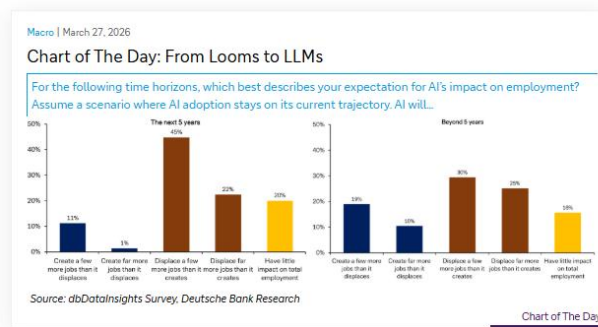
More Expert Voices



Finance & Banking | March 20, 2026

Frühstart-Rente: A small step with major long-term implications

The German government is looking to introduce the "Frühstart-Rente", a new private pension scheme automatically



Adrian Cox is a Managing Director and Thematic Strategist at Deutsche Bank Research in London. He is also Managing Director of the Deutsche Bank Research Institute. He joined Deutsche Bank in 2009 after working as an award-winning journalist and editor at Bloomberg News and the Financial Times in London, Brussels and New York. He is a graduate of Cambridge University and has an MBA from City University in London.

Deutsche Bank Research Institute

- AI is not convinced AI is a major disinflationary force (April 3, 2026)
- Power Play: Investing in Energy Infrastructure for the AI Era (April 3, 2026)
- Tracking the effects of AI on the US labor market (March 10, 2026)
- The AI sell-off: Over or underdone? (March 4, 2026)
- What AI says about AI eating itself and the world... (Feb 16, 2026)
- AI Q&A: Why have market vibes suddenly shifted on AI? (Feb 16, 2026)
- Three AI themes for 2026: the honeymoon is over (Jan 20, 2026)
- Would the real AI bubble please stand up? Boom or bust in 20 slides (Dec 11, 2025)
- Happy birthday, ChatGPT? OpenAI faces three threats as Altman issues "code red" (Dec 3, 2025)
- AI 101: Economy: Five ways AI is driving growth (Nov 18, 2025)
- AI 101: Technology: hype-free guide for users (Oct 2, 2025)



Appendix 1

This material has been prepared by the Deutsche Bank Research Institute and is provided to you for general information purposes only. The Institute leverages the views, opinions, and research from Deutsche Bank Research, economists, strategists, and research analysts. Accordingly, you should assume that content in this document is based on or was previously published and provided to Deutsche Bank clients who may have already traded on the basis of it.

Any views or estimates expressed in this material reflect the current views of the author(s) and may differ from the views and estimates of Deutsche Bank AG, its affiliates, other Deutsche Bank personnel, and other materials published by Deutsche Bank. The content in this material is valid as of the date shown on the first page and may change without notice. Deutsche Bank has no obligation to provide any updates or changes to the information herein.

This material should not be used as a basis for trading securities or other financial products and should not be considered to be a recommendation or individual investment advice for any particular person. It does not constitute an offer, solicitation, or an invitation by or on behalf of Deutsche Bank to any person to buy or sell any security or financial instrument. Nothing in this material constitutes investment, legal, accounting or tax advice. Deutsche Bank engages in securities transactions, including on a proprietary basis, and may do so in a manner inconsistent with the views or information expressed in this material.

While information in this material has been obtained from sources believed to be reliable, neither Deutsche Bank AG nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this material and therefore any liability is expressly disclaimed. This material is provided without any obligation, whether contractual or otherwise. Information regarding past transactions or performance is not indicative of future results.

In the U.S. this report is approved and/or distributed by Deutsche Bank Securities Inc., a member of FINRA. In Germany this information is approved and/or communicated by Deutsche Bank AG Frankfurt, licensed to carry on banking business and to provide financial services under the supervision of the European Central Bank (ECB) and the German Federal Financial Supervisory Authority (BaFin). In the United Kingdom this information is approved and/or communicated by Deutsche Bank AG, London Branch, a member of the London Stock Exchange, authorized by UK's Prudential Regulation Authority (PRA) and subject to limited regulation by the UK's Financial Conduct Authority (FCA) (under number 150018) and by the PRA. This information is distributed in Hong Kong by Deutsche Bank AG, Hong Kong Branch, in Korea by Deutsche Securities Korea Co. and in Singapore by Deutsche Bank AG, Singapore Branch. In Japan this information is approved and/or distributed by Deutsche Securities Limited, Tokyo Branch. In Australia, retail clients should obtain a copy of a Product Disclosure Statement (PDS) relating to any financial product referred to in this report and consider the PDS before making any decision about whether to acquire the product.

By accessing this material, you agree that its content may not be reproduced, distributed or published by any person for any purpose, in whole or part, without Deutsche Bank's prior written consent. You also agree that you shall not scrape, extract, download, upload, sell or offer for sale any of the content in this material, and you agree not to use, or cause to be used, any computerized or other manual or automated program or mechanism, tool, or process, including any scraper or spider robot, to access, extract, download, scrape, data mine, display, transmit, or publish, any of the content in this material.